AD-HOC OPINION · JAPANESE TRADING HOUSES

Mitsui and Marubeni: two routes to higher cash returns

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This note sets out facts and points to consider on Mitsui & Co. and Marubeni Corporation. It is for information only. It is not a recommendation to buy, sell or hold either share and does not take any investor's personal situation into account. Prices are as of the close on 28 October 2026, and the charts are as of the same date. Company figures are from publications up to the first-quarter results for the year to March 2027. Please read the important information at the end of this document.

Japanese trading houses enter a new phase

From traders to investment groups

Japan's five large trading houses (Mitsubishi Corporation, Mitsui & Co., Itochu, Sumitomo Corporation and Marubeni) have spent the past decade turning from commodity traders into diversified investment groups. Commodities still carry a large weight in profits. A growing share now comes from businesses such as food, power, infrastructure, finance and consumer goods, which earn steadier returns through the cycle.

Capital discipline as the common thread

Each of the large houses now runs a plan that ties dividends and share buybacks to a return on equity goal. The Tokyo Stock Exchange's push for capital efficiency and the arrival of Berkshire Hathaway as a shareholder in all five houses have reinforced this.

A mixed commodity backdrop

Crude oil and iron ore prices could soften in 2027 and 2028 as new supply arrives. Copper stands apart: mine supply remains tight while demand from power grids, electrification and data centres keeps rising. The commodity mix of each house therefore matters more than usual.

Two different mixes

Mitsui is one of the most resource-weighted houses. About half of its profit in the year to March 2026 came from metals and energy (Syz calculation), with iron ore as the largest single driver and LNG next. Marubeni's resource profits lean more on copper in Chile, alongside coking coal and LNG, and it is building scalable platform businesses in agriculture, aircraft leasing, finance and power.

Both houses started the year strongly. Their first-quarter profits each covered 32% of an unchanged full-year plan, and both added large buybacks in August. Both report half-year results on 4 November 2026.

WHAT THIS MEANS FOR INVESTORS

Both shares pair rising cash returns with earnings that still depend on commodities and the yen. The difference lies in which commodities: iron ore and energy for Mitsui, copper for Marubeni. Holding both adds exposure to the same sector drivers rather than diversification. The half-year results on 4 November are the next checkpoint for both.

Mitsui and Marubeni side by side

The table below sets the two houses on the same basis. Multiples use each company's own profit plan for the year to March 2027, so that both are measured the same way (Syz calculations).

COMPANY FIGURE	MITSUI & CO.	MARUBENI
Profit FY3/26	JPY 834.0 bn	JPY 543.9 bn
First-quarter profit FY3/27	JPY 294.1 bn	JPY 186.4 bn
Full-year profit plan FY3/27	JPY 920 bn	JPY 580 bn
First quarter as a share of the plan	32%	32%
Return on equity goal	12% by FY3/29	15% (GC2027)
Main resource drivers	Iron ore, LNG, copper	Copper, coking coal, LNG

Source: Mitsui & Co. and Marubeni publications

MARKET AND RETURN FIGURE	MITSUI & CO.	MARUBENI
Share price, 28 October 2026	JPY 5,042	JPY 5,042
P/E on the FY3/27 company plan	15.5x	14.1x
Dividend per share FY3/27	JPY 140 (floor)	JPY 115 (forecast)
Dividend yield	2.8%	2.3%
Buybacks announced for FY3/27	JPY 200 bn	JPY 145 bn
Buybacks as a share of market value	1.4%	1.8%
Total cash return	≈ 4.2%	≈ 4.1%

Source: Syz Research, Bloomberg, company publications. Multiples and yields are Syz calculations.

MITSUI: WHAT THE PLAN IMPLIES

The JPY 920 billion plan implies about JPY 626 billion over the last nine months, below the first-quarter pace. That quarter included one-off gains on investments. Each USD 1 per tonne on iron ore moves annual profit by about JPY 3 billion, and each JPY 1 against the dollar by about JPY 4.6 billion.

MARUBENI: WHAT THE PLAN IMPLIES

The JPY 580 billion plan implies about JPY 394 billion over the last nine months, also below the first-quarter pace. On current guidance, return on equity would reach about 13% this year, so the 15% goal needs higher profits or more buybacks. New copper volumes from Centinela are expected from 2027.

Where they differ

- **Commodity mix.** Mitsui is more exposed to iron ore and energy, where prices could soften in 2027 and 2028. Marubeni is more exposed to copper, where supply remains tight.
- **Return framework.** Mitsui has a dividend floor of JPY 140 to FY3/29 and returns around half of cumulative core operating cash flow. Marubeni has raised its GC2027 return target to JPY 900 billion.
- **Valuation.** Mitsui trades at a slightly higher multiple of its own plan. Marubeni trades well above its 10-year valuation range on consensus earnings (Chart 4).

Mitsui & Co.

A record first quarter, an unchanged full-year plan and a new JPY 200 billion buyback

Share price	P/E on FY3/27 plan	Dividend yield	Buybacks FY3/27
JPY 5,042	**15.5x**	**2.8%**	**JPY 200bn**
Close, 28 October 2026	Company plan, Syz calculation	JPY 140 dividend floor	About 1.4% of market value

TECHNICAL TREND	SUPPORT	RESISTANCE	TREND CHANGE
Neutral, positive tilt	**JPY 4,672 / 4,407**	**JPY 5,263 / 5,333**	**Above JPY 5,333**

1. What the company does

Mitsui is a trading and investment group active in metals and mining, energy, machinery and infrastructure, chemicals, steel products, lifestyle (food, retail, healthcare) and innovation. In the year to March 2026 (FY3/26), profit attributable to shareholders was JPY 834.0 billion. Mineral & Metal Resources earned JPY 253.6 billion, including JPY 43.5 billion of Vale dividends, and Energy JPY 164.2 billion.

2. Why it could do well

First-quarter profit for FY3/27 reached a record JPY 294.1 billion, up from JPY 191.6 billion, and covered 32% of the unchanged JPY 920 billion full-year plan. The plan to FY3/29 targets profit of JPY 1.1 trillion, core operating cash flow of JPY 1.2 trillion and an ROE of 12%. New LNG capacity should help: Mozambique LNG, where Mitsui holds 20%, fully restarted in January 2026, with first LNG expected in 2029.

3. What sets it apart

A clear framework for cash returns, backed by Berkshire Hathaway as a long-term anchor shareholder:

- around 50% of three-year cumulative core operating cash flow returned to shareholders
- a dividend floor of JPY 140 a year from FY3/27 to FY3/29, up from JPY 115 in FY3/26
- a minimum total payout ratio raised to 40% from 37%
- a buyback of up to JPY 200 billion from August 2026 to January 2027, of which JPY 11.25 billion was done in August

4. Is the share cheap?

Less so than a few years ago. At JPY 5,042, the share trades at about 15.5 times the FY3/27 company plan, 17.3 times FY3/26 earnings per share of JPY 291.12 and about 1.6 times book value. The dividend and buyback add up to a cash return of about 4.2% (Syz calculations). The share sits well below its spring 2026 high but well above its level of a year ago (Chart 1). The valuation now rests more on delivery of the 2029 plan than on a discount to assets.

5. Main risks

- **Commodities.** Each USD 1 per tonne on iron ore moves annual profit by about JPY 3 billion. Iron ore and oil prices could soften in 2027 and 2028 as new supply arrives.
- **Yen.** Each JPY 1 move against the dollar changes profit by about JPY 4.6 billion. A stronger yen would reduce profit.
- **One-off gains.** Part of the first-quarter strength came from gains on investments, which do not recur every quarter.
- **Projects and geopolitics.** Mozambique LNG carries security and execution risk. Mitsui's Russian LNG interests (Sakhalin-2, Arctic LNG 2) remain exposed to sanctions.

6. What to watch next

The half-year results on 4 November 2026, and whether the JPY 920 billion plan is revised. After that, the pace of the buyback, iron ore and LNG prices, the yen, and any change in Berkshire's stake. On the chart, a close above JPY 5,333 could confirm an improving trend, while JPY 4,672 is the level to watch on the downside.

CONCLUSION

Mitsui gives an investor a broad portfolio with iron ore and energy at its core, a well-defined return policy with a dividend floor, and an anchor shareholder. Against this, the shares have already re-rated, the first quarter was helped by one-off gains, and earnings depend heavily on commodities whose prices could soften and on the yen. The main question is how much confidence one places in the 2029 plan and how much commodity-cycle volatility one is ready to accept.

Chart 1 · Mitsui & Co.: range-bound below the 200-day average

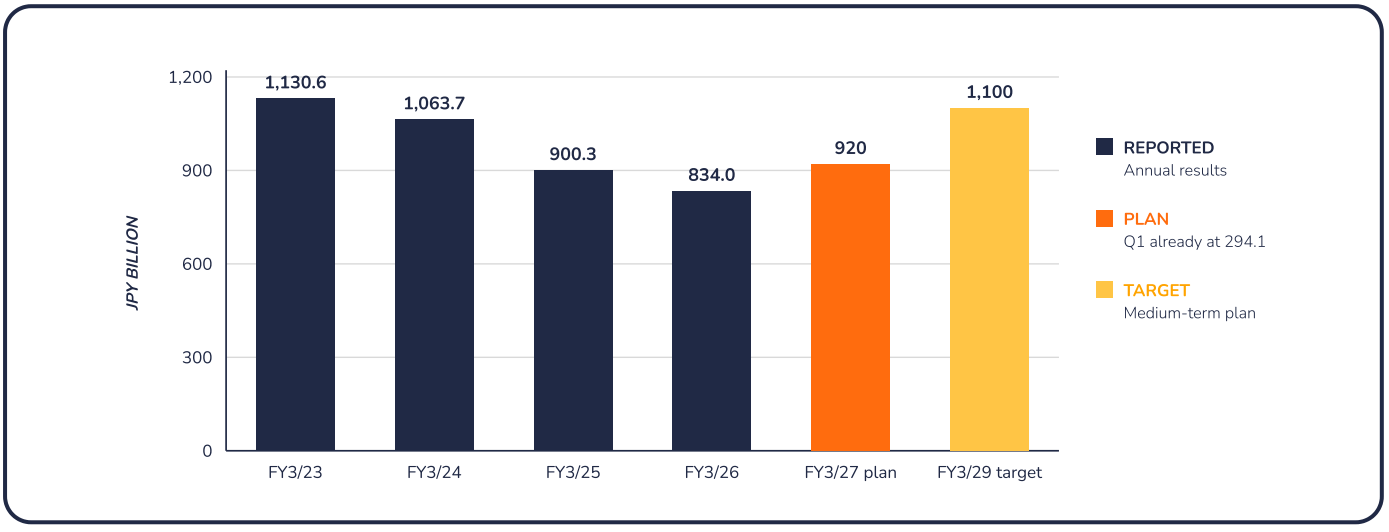
Daily share price in yen with the 50-day (blue) and 200-day (red) moving averages, stochastic, and relative strength against the TOPIX with its 200-day average. Chart as of 28 October 2026.



Source: Syz Research, Bloomberg (Technical Takes, 28 October 2026)

Chart 2 · Mitsui & Co.: profit has normalised, the plan points back up

Profit attributable to owners of the parent, JPY billion, fiscal years ending March. FY3/27 is the company's business plan, FY3/29 its medium-term target.



Source: Mitsui & Co. annual results and Medium-term Management Plan 2029, Syz Research

Marubeni Corporation

A trading house turning into a platform operator, with copper growth and rising cash returns

Share price	P/E on FY3/27 plan	Dividend yield	Buybacks FY3/27
JPY 5,042	**14.1x**	**2.3%**	**JPY 145bn**
Close, 28 October 2026	Company plan, Syz calculation	JPY 115 forecast	About 1.8% of market value

1. What the company does

Marubeni invests in and runs businesses across food and agriculture, energy and power, metals, chemicals, finance and leasing, and infrastructure. Its strategy centres on scalable Strategic Platform Businesses. Examples include Helena, one of the largest agricultural retailers in the United States, Aircastle in aircraft leasing, used-car finance in the United States and SmartestEnergy, a power supplier to large businesses in the United Kingdom. On the resource side, copper in Chile, coking coal in Australia and LNG drive most of the profit.

2. Why it could do well

Net profit reached a record JPY 543.9 billion in the year to March 2026. First-quarter profit for the current year reached JPY 186.4 billion, up 21% and 12% above consensus, helped by copper and coking coal prices and strong chemicals and gas trading. The quarter covers 32% of the unchanged full-year plan of JPY 580 billion. Copper adds volume growth. The second concentrator at Centinela in Chile, where Marubeni holds 30%, could add around 40,000 tonnes a year of attributable copper at full capacity, with first production expected in 2027.

3. What sets it apart

Cash returns are rising quickly. In August, management added a JPY 100 billion buyback to the JPY 45 billion approved in May. It also raised the shareholder return target of its GC2027 plan from JPY 700 billion to JPY 900 billion, and lifted the investment budget to JPY 1.95 trillion. The plan aims for a 15% return on equity. Net debt to equity stood at 0.46x at the end of June.

4. Is the share cheap?

Not against its own history. The share trades at 12.9 times consensus earnings, well above its 10-year average of 7.6 times, and at 14.1 times the company plan (Syz calculation). Much of the re-rating took place between 2023 and early 2026. Since February, the consensus multiple has come back from 18.5 times. This year's share price gain of 16% now matches the 17% rise in consensus earnings. The dividend and this year's buybacks add up to a cash return of around 4%. Further share price moves would depend on earnings growth and buybacks.

5. Main risks

- **Commodities.** A sharp fall in copper, coking coal, iron ore or oil prices would weigh on resource profits, which drove much of the recent upside.
- **Yen.** A rapid rise of the yen would reduce the value of overseas earnings.
- **Return target.** On current guidance, return on equity would reach about 13% this year, so the 15% goal needs higher profits or more buybacks.
- **Investment discipline.** The larger investment budget is partly funded by leverage, and a large acquisition at a high price would dilute returns.

6. What to watch next

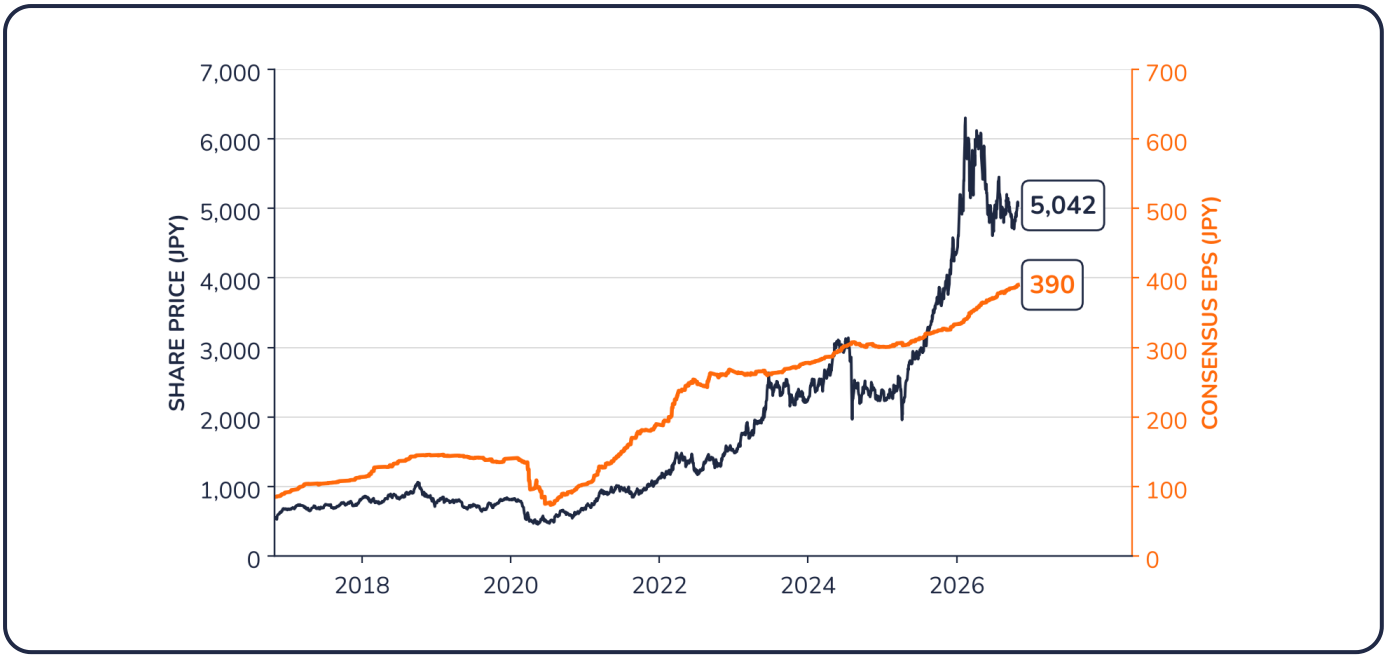
The half-year results on 4 November 2026, any change to the JPY 580 billion plan and progress on the JPY 100 billion buyback. After that, copper prices, the start-up of the Centinela expansion in 2027, further steps toward the 15% return on equity goal, and new platform investments such as the planned stake in South Korean beauty company iFamilySC announced on 23 October.

CONCLUSION

Marubeni combines record earnings, growing copper volumes and one of the larger capital return programmes among the trading houses. Against this, the share trades above its 10-year valuation range, part of the recent profit rests on commodity prices, and the 15% return goal still needs higher profits or more buybacks. The main question is how far earnings growth and buybacks can keep supporting a valuation that is no longer low against history.

Chart 3 · Marubeni: share price and consensus earnings

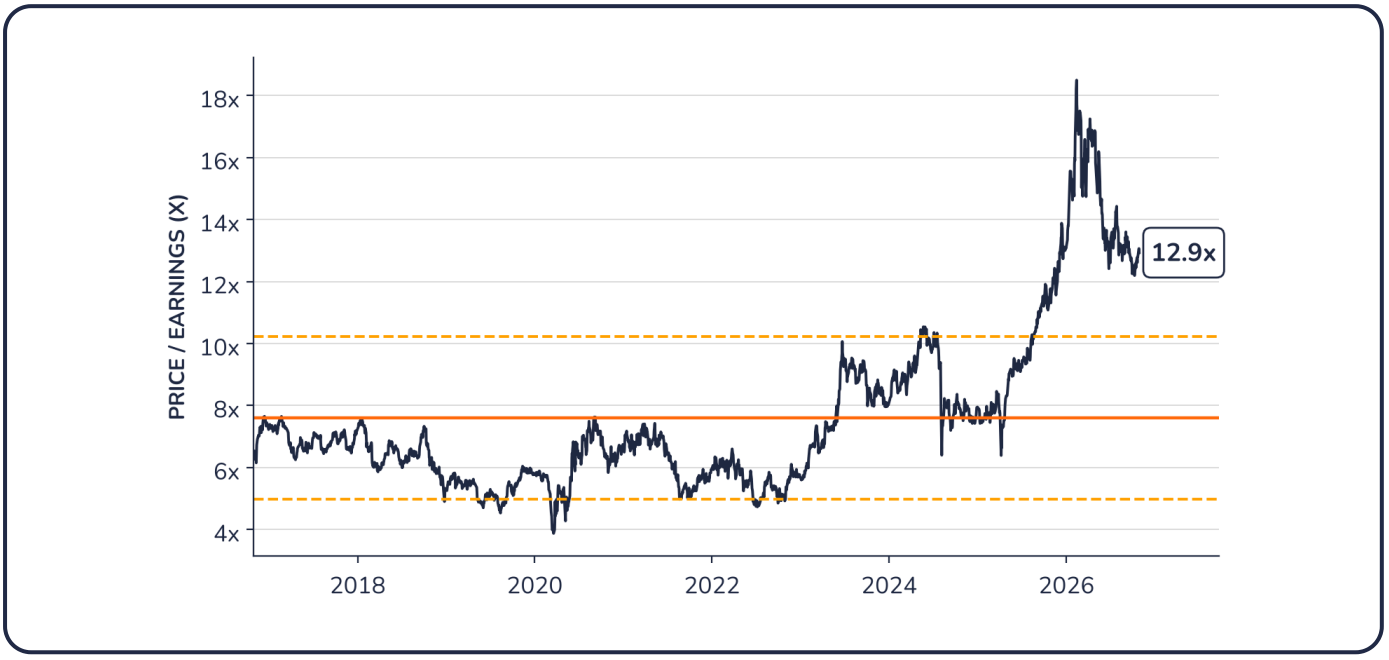
Share price (left axis) and 12-month forward consensus earnings per share (right axis), in yen



Source: Syz Research, Bloomberg, company data

Chart 4 · Marubeni: valuation against its own history

Price to 12-month forward consensus earnings (dark blue), with the 10-year average of 7.6x (orange) and one standard deviation either side, 5.0x to 10.2x (dashed)



Source: Syz Research, Bloomberg, company data

Chart 3 shows the share price rising faster than consensus earnings since 2023, as investors began to pay a higher multiple for the trading houses. Chart 4 shows the size of that re-rating and its partial reversal since February. At 12.9 times, the share trades above the upper band of its 10-year history. This premium reflects higher returns on equity, larger buybacks and a steadier earnings mix than in the past.

Sources

Syz Research, Bloomberg. Syz Research Technical Takes on Mitsui & Co. (28 October 2026). Mitsui & Co.: Financial results for the year ended March 2026 and results presentation (1 May 2026); Medium-term Management Plan 2029 (1 May 2026); first-quarter results for the year ending March 2027 and share buyback announcement (4 August 2026); buyback progress notice (1 September 2026). Marubeni: results for the year ended March 2026 (1 May 2026); first-quarter results, share buyback and revision of the GC2027 capital allocation (3 August 2026). TotalEnergies: Mozambique LNG full restart press release (29 January 2026). Press reports on Berkshire Hathaway's stakes in the Japanese trading houses. Syz Research calculations: segment share of profit, P/E on company plans, price to book, dividend and buyback yields, profit implied for the remaining nine months.

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